CHAPTER 5

Air Corporations Act 1962

ARRANGEMENT OF SECTIONS

Section

An Act to make further provision with respect to the borrowing powers of the British Overseas Airways Corporation and the British European Airways Corporation, and with respect to the power of the Minister of Aviation to make advances to those corporations; to make further provision with respect to the payment of pension benefits in the case of employees who become members of those corporations, and to provide in certain cases for compensating members of those corporations for loss of office; and for purposes connected with the matters aforesaid.

[20th December, 1962]

BE it enacted by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Borrowing powers of air corporations.

1.—In the Air Corporations Act 1949 (in this Act referred to as " the principal Act ") the following section shall be substituted for section 8 (which relates to the borrowing powers of the British Overseas Airways Corporation and the British European Airways Corporation): —

" **8.**—(1) Subject to the limits imposed by section 12 of this Act, each of the permanent corporations, with the consent of the Minister and the approval of the Treasury, or in accordance with the terms of any general authority issued by the Minister with the approval of the Treasury, may borrow temporarily, by way of overdraft or otherwise, such sums as the corporation may require for meeting their obligations or discharging their functions.

(2) Subject to those limits, each of the permanent corporations may borrow from the Minister, or, with the consent of the Minister and the approval of the Treasury, may borrow by the issue of stock, such sums as the corporation may require for all or any of the following purposes, that is to say—

(*a*) the provision of working capital;

(*b*) the promotion of other undertakings, the acquisition of other undertakings or of shares or stock in other undertakings, and the making of loans to, and the fulfilment of guarantees given for the benefit of, other undertakings;

(*c*) the redemption of any stock which the corporation are required or entitled to redeem; and

(*d*) any other expenditure properly chargeable to capital account, including the repayment of any money borrowed by the corporation for defraying expenditure properly so chargeable.

(3) Subject to those limits, each of the permanent corporations may borrow from the Minister sums required by them for financing any accumulated deficit of the corporation on revenue account which has accrued at any time not later than the end of March 1964, but only to the extent to which that deficit—

(*a*) in the case of the British Overseas Airways Corporation, does not exceed one hundred million pounds, and

(*b*) in the case of the British European Airways Corporation, does not exceed ten million pounds,

and may borrow from the Minister sums required for repaying any money borrowed by them under this subsection."

2. The following section shall be substituted for section 12 of the principal Act (which imposes limits on borrowing by the air corporations):— General limits on borrowing.

"**12.**—(1) Subject to the following provisions of this section, the aggregate amount outstanding in respect of the principal of any moneys borrowed by the British Overseas Airways Corporation shall not at any time exceed two hundred and sixty million pounds, or such greater sum, not exceeding three hundred million pounds, as the Minister may from time to time by order specify.

(2) Subject to the following provisions of this section, the aggregate amount outstanding in respect of the principal of any moneys borrowed by the British European Airways Corporation shall not at any time exceed one hundred and ten million pounds, or such greater sum, not exceeding one

hundred and twenty-five million pounds, as the Minister may from time to time by order specify.

(3) Any order under this section shall be made by statutory instrument; and no such order shall be made unless a draft of the order has been approved by a resolution of the Commons House of Parliament.

(4) Nothing in this section shall prevent either of the permanent corporations from borrowing in excess of the limit imposed by virtue of the preceding provisions of this section for the purpose of redeeming any stock of the corporation which they are required or entitled to redeem, or of paying off any loan ".

Exchequer advances to air corporations.

3.—(1) The Minister may with the approval of the Treasury advance to either of the permanent corporations any sums which, within the limits imposed by section 12 of the principal Act, the corporation have power to borrow under section 8 of that Act.

(2) Any advances made by the Minister under this section shall be repaid to him at such times and by such methods, and interest thereon shall be paid to him at such rates and at such times, as he may with the approval of the Treasury from time to time direct.

(3) The Treasury may issue out of the Consolidated Fund to the Minister such sums as are necessary to enable him to make advances under subsection (1) of this section.

(4) For the purpose of providing sums to be issued under the last preceding subsection, or of providing for the replacement of sums so issued, the Treasury may at any time, if they think fit, raise money in any manner in which they are authorised to raise money under the National Loans Act 1939; and any securities created and issued to raise money under this subsection shall be deemed for all purposes to have been created and issued under that Act.

(5) Any sums received by the Minister under subsection (2) of this section shall be paid into the Exchequer, and shall be issued out of the Consolidated Fund at such times as the Treasury may direct, and shall be applied by the Treasury as follows, that is to say—

(*a*) so much thereof as represents principal shall be applied in redeeming or paying off debt of such description as the Treasury think fit, and

(*b*) so much thereof as represents interest shall be applied towards meeting such part of the annual charges for the National Debt as represents interest.

(6) The Minister shall, in respect of each financial year, prepare, in such form and manner as the Treasury may direct,

an account of sums issued to him under this section and of the sums to be paid into the Exchequer under subsection (5) of this section and of the disposal by him of those sums respectively, and shall send it to the Comptroller and Auditor General not later than the end of November following that financial year; and the Comptroller and Auditor General shall examine, certify and report on the account and lay copies of it, together with his report, before each House of Parliament.

(7) Any account prepared under the last preceding subsection—

(*a*) if it is in respect of the year 1962-1963, shall include any sums issued to the Minister under section 42 of the Finance Act 1956 which relate to advances made to either of the permanent corporations in that year before the passing of this Act, and

(*b*) in any case, shall include any sums received by the Minister under subsection (4) of that section in respect of the financial year to which the account relates;

and the Minister shall not be required to prepare an account under that section in respect of the year 1962-1963 or any subsequent year.

(8) In relation to the making of advances to either of the permanent corporations after the passing of this Act, this section shall have effect in substitution for the provisions of section 42 of the Finance Act 1956 in so far as those provisions relate to those corporations; but (except as provided by the last preceding subsection) this section shall have effect without prejudice to the operation of any provisions of that section in relation to advances made before the passing of this Act.

Pensions in respect of members of air corporations.

4. Section 2 (1) of the Air Corporations Act 1953 (which makes provision as to the pension rights of employees of the air corporations who become members of those corporations) shall apply to a person who has at any time (whether before or after the passing of this Act) ceased to be an employee of one of the permanent corporations on becoming a member of the other of those corporations, as it applies to a person who becomes a member of the corporation by which he is employed.

Payment to members of compensation for loss of office.

5. Where, after the passing of this Act, a person ceases to be a member of either of the permanent corporations otherwise than on the expiry of his term of office, and it appears to the Minister that there are special circumstances which make it right that that person should receive compensation, the Minister may with the approval of the Treasury require the corporation to make to that person a payment of such amount as may be determined by the Minister with the approval of the Treasury.

Construction, amendments and repeals.

6.—(1) Expressions used in this Act to which a meaning is assigned by the principal Act have the same meanings in this Act as in that Act.

(2) References in this Act to any enactment are references to that enactment as amended or extended by or under any other enactment, including this Act.

(3) In section 9 (1) of the principal Act (which relates to the creation and issue of stock by the permanent corporations) and in section 1 (2) of the Air Corporations Act 1956 (which confers additional powers of borrowing on the British Overseas Airways Corporation) for the words " with the consent of the Treasury " there shall be substituted the words " with the consent of the Minister and the approval of the Treasury " ; and in the proviso to the said section 1 (2) (which provides for the application to sums borrowed under that subsection of the limit imposed by section 12 (1) of the principal Act as amended by the said Act of 1956) for the words from " as amended " to the end there shall be substituted the words " as for the time being in force ".

(4) Section 42 (2) (*b*) of the Finance Act 1956, and the Air Corporations Act 1960, are hereby repealed ; but (without prejudice to section 3 (7) of this Act) the repeal in the said section 42 shall not affect the operation of any provisions of that section in relation to advances made thereunder before the passing of this Act.

Short title and citation.

7.—(1) This Act may be cited as the Air Corporations Act 1962.

(2) This Act and the Air Corporations Acts 1949 to 1956 may be cited together as the Air Corporations Acts 1949 to 1962.

Table of Statutes referred to in this Act

Short Title	Session and Chapter
National Loans Act 1939	2 & 3 Geo. 6. c. 117.
Air Corporations Act 1949	12, 13 & 14 Geo. 6. c. 91.
Air Corporations Act 1953	2 & 3 Eliz. 2. c. 7.
Finance Act 1956	4 & 5 Eliz. 2. c. 54.
Air Corporations Act 1956	5 & 6 Eliz. 2. c. 3.
Air Corporations Act 1960	8 & 9 Eliz. 2. c. 13.